

SALES PERFORMANCE ANALYSIS

Sales Performance & Pricing Analysis

Presentation to CEO

Period analysed: 30 December 2013 – 16 November 2016
Records analysed: 1,053 daily observations





Summary

Total Sales

R186.91M

Total Quantity Sold

5.28M

Avg Unit Price

R37.01

Avg Gross Profit %

-R3.81%

Total Gross Profit

-R7.12M

1. Strong sales volume, but profitability is the major concern.

The product generated approximately R186.91M in sales, but total gross profit was approximately - R7.12M.

2. Demand responds strongly to price changes.

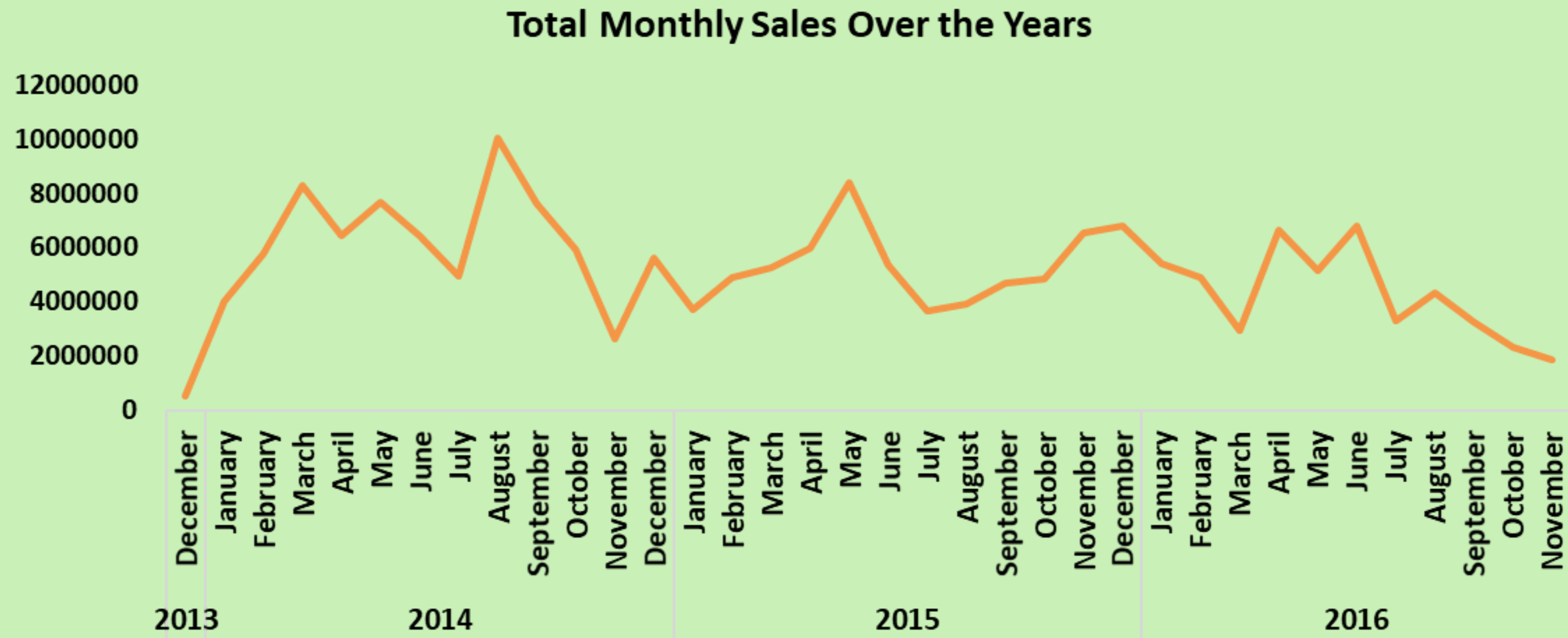
The three selected promotional periods produced negative price elasticity values, indicating that quantity demanded increased when price decreased.

3. Promotions should be managed carefully.

Higher unit volumes during promotional pricing do not automatically mean higher profitability.



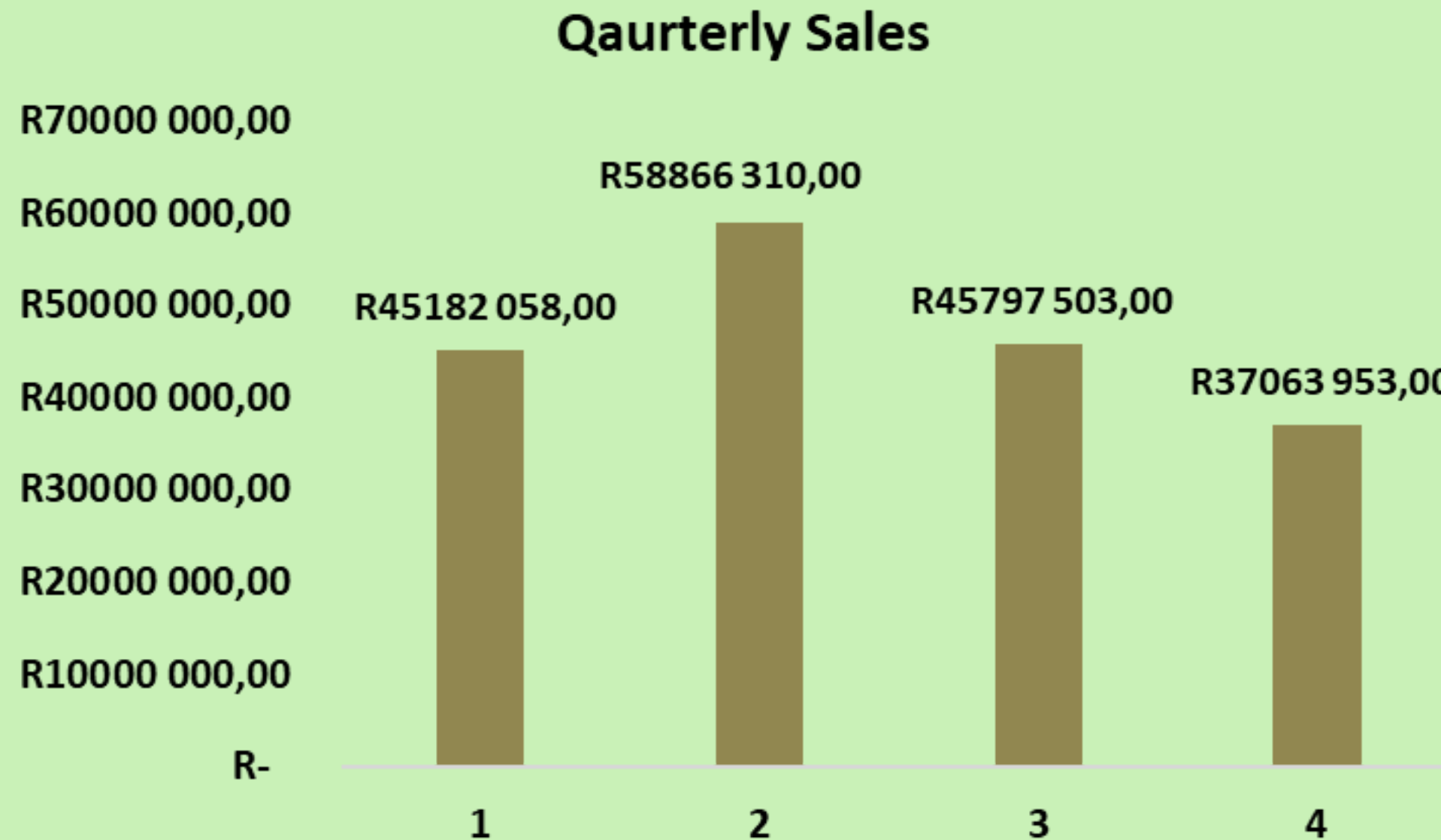
Sales Performance Over Time



Sales performance varies across the months, with some months performing better than others. Monitoring these changes can help the business management understand demand patterns and plan pricing and promotional activity accordingly.



Quarterly Sales Performance

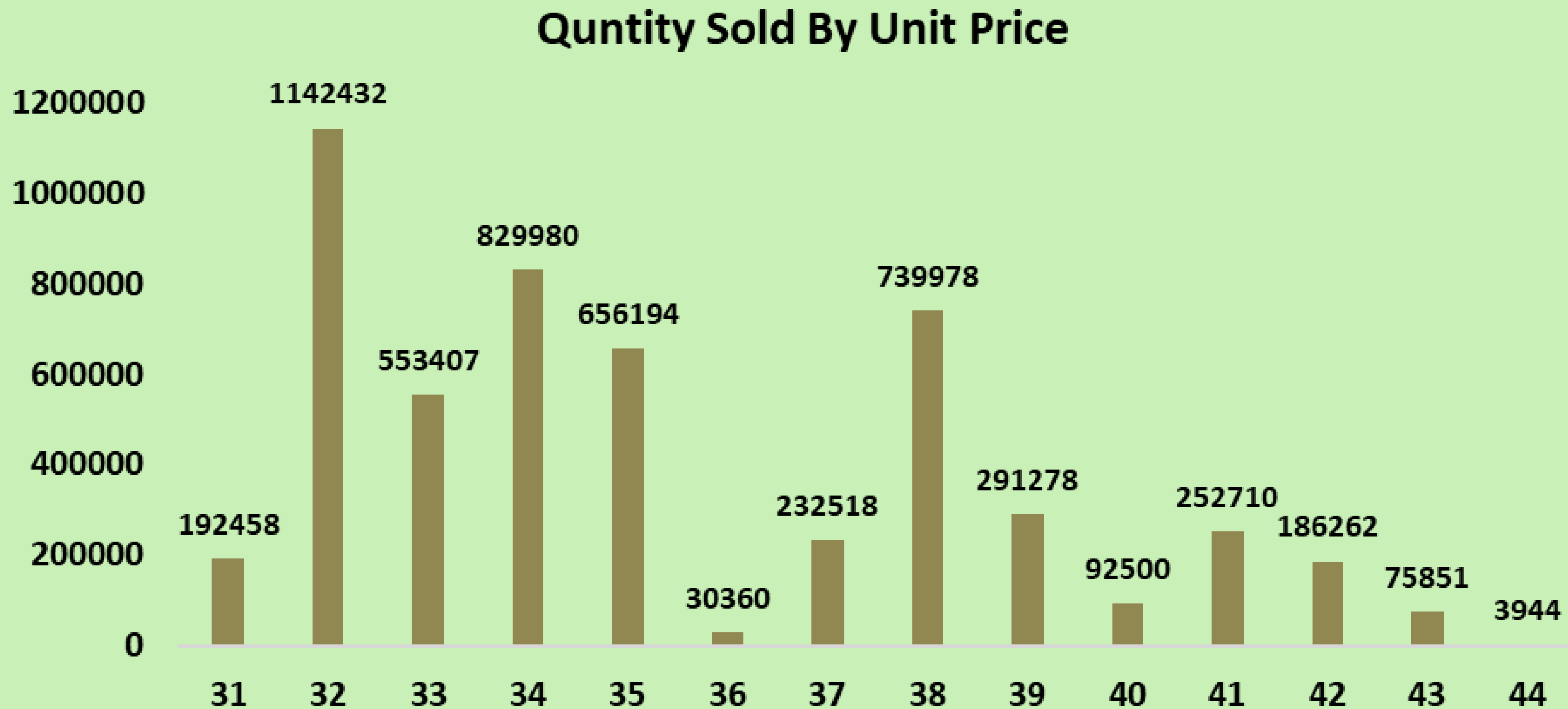


Quarter 2 recorded the highest sales at R58.87 million, Quarter 4 had the lowest sales at R37.06 million. Q2 sales were 58.8% higher than Q4, showing a significant difference in performance between the strongest and weakest quarters.

This suggests that the business should look at the factors driving the stronger Q2 performance and consider how they could be applied during weaker quarters.



Pricing & Demand



The highest quantity sold was 1.14 million units at R32. Overall, higher unit prices were generally associated with lower quantities sold, although some price points showed fluctuations in demand.



Profitability Overview

Total Sales: R186.91M

Total Gross Profit: -R7.12M

Gross Profit Margin: -3.81%

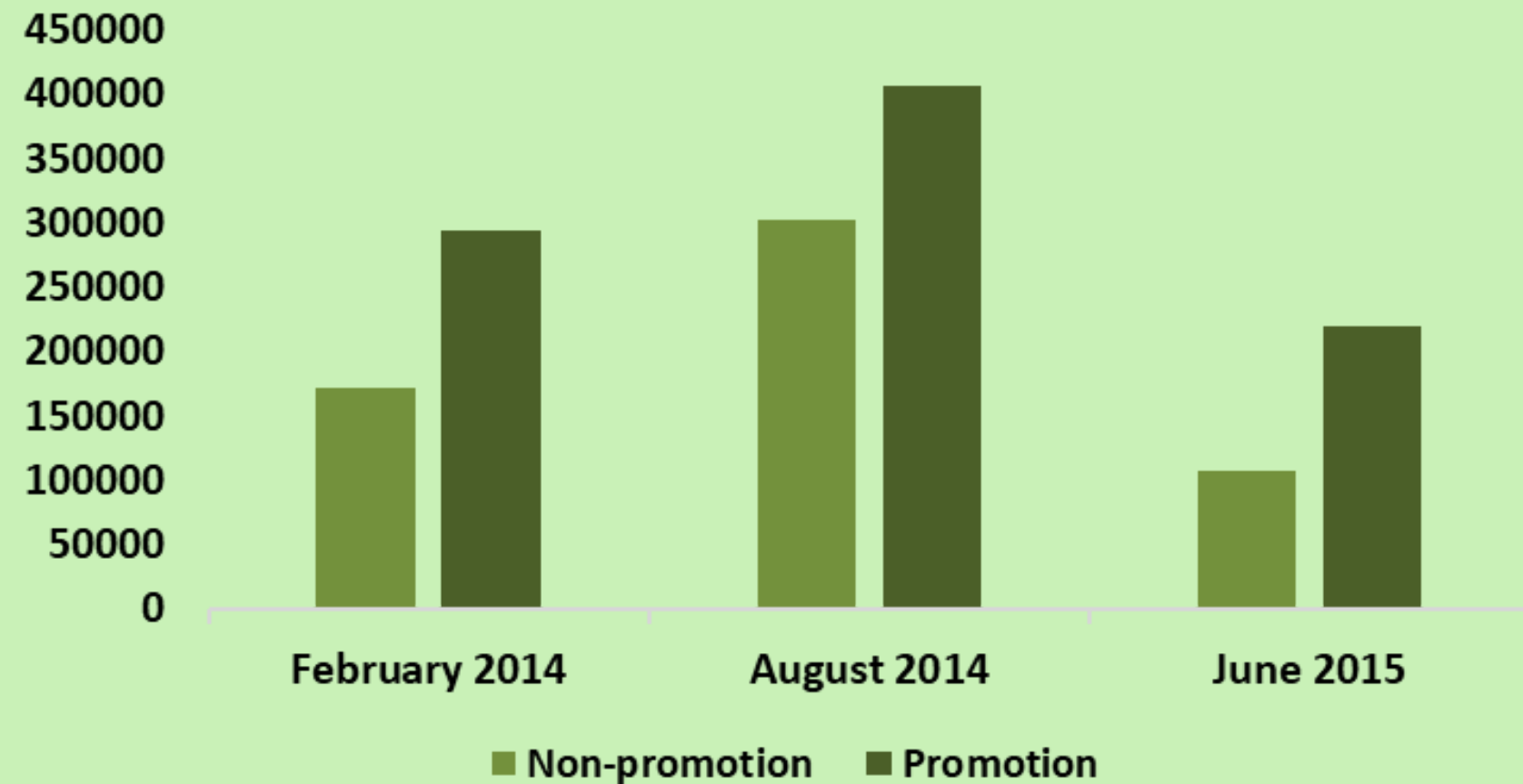
Average Unit Price: R37.01

Profitability is the major challenge. Although the business generated R186.91M in sales, it recorded a gross loss of R7.12M, resulting in an overall gross profit margin of -3.81%. This shows that strong sales volume is not translating into profitability.

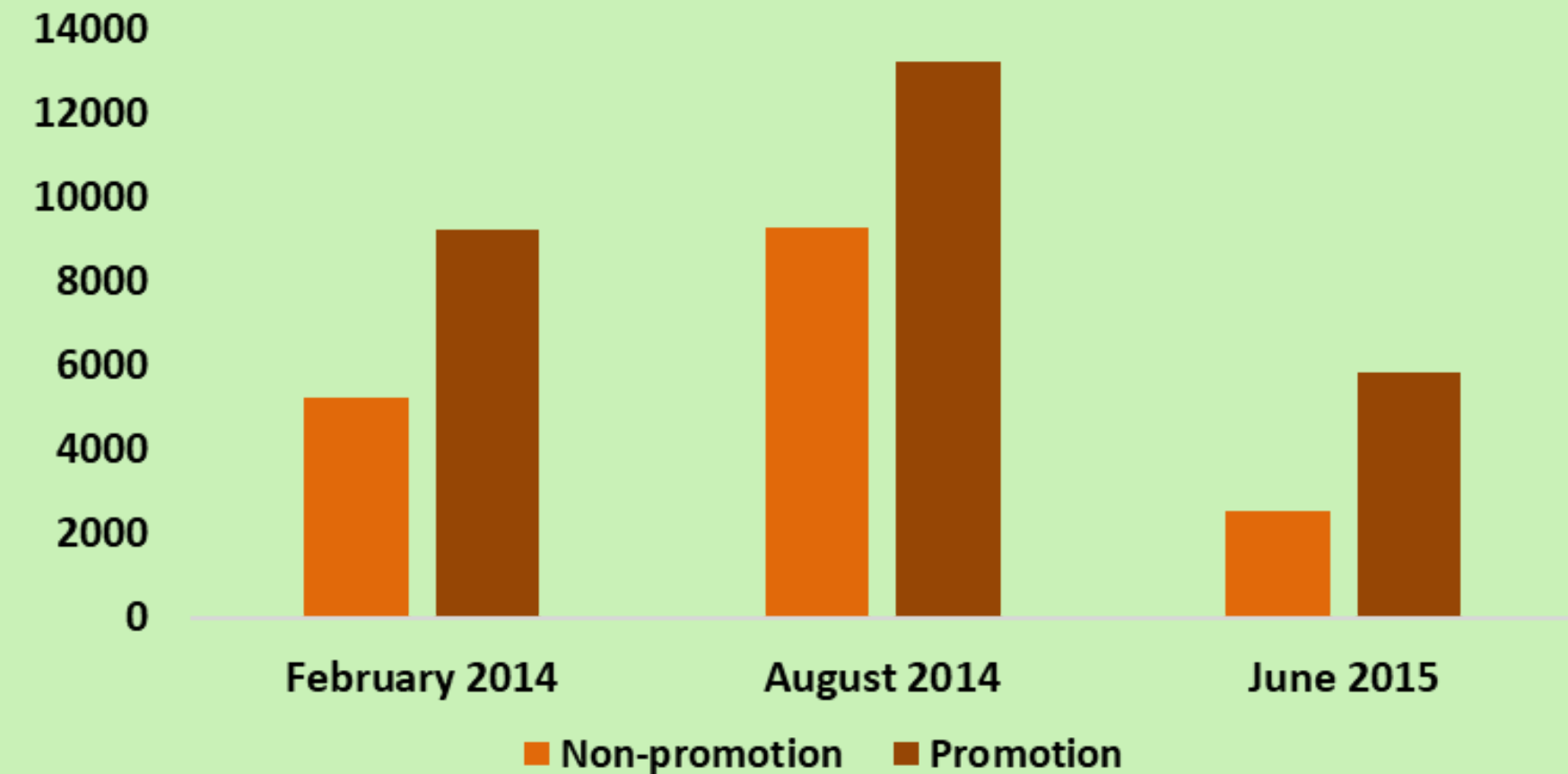


Promotion Performance

Avg Daily Sales: Non-promotion vs Promotion



Avg Qunatity Sold: Non-promotion vs Promotion



Price Elasticity Demand (PED) : Feb 2014 (-26.65), Aug 2014 (-7.30) and Jun 2015 (-12.66)

Promotional periods increased both quantity sold and average daily sales, with PED ranging from -7.30 to -26.65. This suggests that lower promotional prices increased customer demand and sales during these periods.

Business Recommendations

01

Review pricing and costing structure, the negative gross profit indicates that management should investigate whether the current selling price adequately covers cost.

02

Set a minimum price for promotions so that the business does not lose too much profit when offering discounts.

03

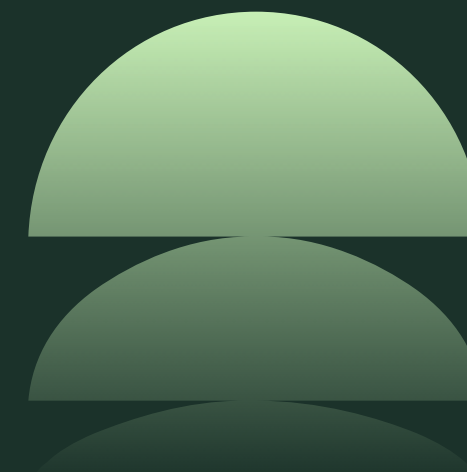
Measure promotions on profit, not units. The elasticity results indicate strong demand responsiveness.

04

Monitor monthly/quarterly demand and sales patterns and plan stock and promotions around stronger sales periods.

05

Set a clear sales and profit target for each promotion and check whether it was actually achieved.



THANK YOU

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